

Armenia-Azerbaijan Relations

Armenia, Azerbaijan, South Caucasus

- SIGNAL** Armenia's Western pivot is accelerating – trade with Turkey is operational and military integration with the US and Europe is deepening.
- FRACTURE** Aliyev has escalated peace preconditions far beyond constitutional reform while Pashinyan lacks the parliamentary supermajority to deliver even that baseline demand.

Armenia and Azerbaijan will fail to sign a comprehensive peace treaty over the next 12 months.

80%

PROBABILITY

TARGET: JUNE 2027

CONFIDENCE: MEDIUM

WHAT'S NEW

- Aliyev escalated preconditions: "Western Azerbaijan" conference held in the halls of the US Congress (June 24), UN-level appeals for resettlement of 300,000 Azerbaijanis in Armenia, return of former Azerbaijani enclaves, and territorial adjustments via border "delimitation and demarcation" – demands that go well beyond the constitutional reform previously flagged as the primary blocker
- Armenia's Deputy Foreign Minister Vahan Kostanyan announced in Brussels that Armenia has set 2030 as the target year for full border reopening with Turkey and Azerbaijan, formally pushing the normalization timeline years beyond the peace treaty horizon
- Eagle Partner 2026 military exercises (June 17-25) expanded to a multinational format with US, France, and Greece participating for the first time; Armenia also participated in Paris Eurosatory 2026 defense exhibition with 30 domestic defense companies and signed a cooperation agreement between BooTech and Thales
- DFC TRIPP Public Information Summary revealed the implementation structure but confirms no DFC funding has been committed – sub-project equity is capped at 40% and the corporate structure alone does not obligate US financial participation
- Armenia further distanced itself from Russia: Pashinyan met with Zelensky in Yerevan, Security Council Secretary Grigoryan attended the Ukraine recovery conference in Gdansk, and the Kremlin explicitly condemned both gestures, with Putin aide Ushakov warning of potential "tragedy" akin to Ukraine

- Carnegie Endowment analysts (June 11) identified the upcoming July 2026 NATO summit in Ankara as the critical diplomatic window, proposing Erdoğan convene Trump, Pashinyan, and Aliyev on the sidelines
- Probability raised from 75% to 80%: Aliyev's post-election escalation of demands – adding resettlement, enclave returns, and territorial acquisition to the constitutional precondition – structurally reduces the probability of a comprehensive peace treaty within 12 months

ANALYSIS

POLITICAL

The June 7 election gave Pashinyan a mandate – but not the one he needed. Civil Contract's 49.81% share (64 of 105 seats) secured a parliamentary majority but fell short of the two-thirds supermajority (70 seats) required to initiate constitutional reform. The two pro-Russian opposition parties – Strong Armenia (23.29%) and Armenia Alliance (9.9%) – hold the blocking minority and will not vote for constitutional changes that advance the peace process. This is not a temporary political impasse; it is a structural deadlock that Azerbaijan can exploit indefinitely.

The most significant post-election development is Aliyev's escalation of preconditions. On June 30, Armenian Weekly documented that Aliyev has added demands to the UN level – calling for the return of former Azerbaijani enclaves within Armenian territory, territorial adjustments via border "delimitation and demarcation," and, most expansively, the resettlement of 300,000 Azerbaijanis in Armenia under the rubric of the "Western Azerbaijan" campaign. The "Community of Western Azerbaijan" – an organization formed by Aliyev – held a conference in the halls of the US Congress on June 24. Azerbaijan has circulated appeals to all UN member states (January and March 2023, renewed in 2026).

This escalation pattern is consistent with Aliyev's negotiating behavior: he is in no rush to sign a deal. Each time Pashinyan accepts an existing demand, Aliyev adds another. The constitutional amendment – once framed by Azerbaijani Ambassador Mammadov as the final precondition before peace agreement signing – is now just the first item in a growing list. The sequential condition chain (constitutional change → peace agreement → border openings) has been effectively broken by the addition of demands that have no realistic diplomatic path to resolution.

The NATO summit in Ankara (July 2026) is the imminent diplomatic moment. Carnegie analysts Coşkun and Paylan (June 11) proposed Erdoğan convene Trump, Pashinyan, and Aliyev on the sidelines. This is the most plausible venue for a diplomatic breakthrough – but the format (Erdoğan as host, Aliyev as Erdoğan's closest ally) is inherently stacked. Trump may prioritize a photo-op; the substance will depend on whether the US is willing to define what Aliyev's "Western Azerbaijan" demands mean in practice and whether the White House is willing to push back.

Pashinyan's meeting with Zelensky in Yerevan and Security Council Secretary Grigoryan's attendance at the Ukraine recovery conference in Gdansk drew explicit condemnation from Putin aide Ushakov, who warned of potential "tragedy" akin to Ukraine. Russia's pressure campaign continues post-election – trade bans have expanded to cover most Armenian agricultural exports, and Russia still holds significant leverage through gas agreements and the railway concession regime (until 2038).

| ECONOMIC

The normalization with Turkey is real. Direct trade declarations resumed in May 2026 after 33 years. The Akhalkalaki-Kars railway (Georgia-Turkey) opened for Armenian exports and imports on May 24. Pashinyan announced plans to repair the Gyumri-Kars railway (direct Armenia-Turkey link, idle since 1993) and the Yeraskh junction despite Russia's concession. The June 3 Kars business forum was a historic milestone.

But the land border remains closed – and Deputy FM Kostanyan's June 24 announcement of a 2030 target for full border reopening with both Turkey and Azerbaijan effectively puts the economic normalization timetable in a different decade than the peace treaty horizon. Certain transport routes "could operationalize earlier," but the political signal is clear: the government does not expect the sequential condition chain (constitutional reform → treaty → border opening) to complete in the near to medium term.

The DFC TRIPP Public Information Summary (May 2026) provides the first detailed implementation picture – and it reveals structural fragility. The US holds a 74% equity stake through a wholly DFC-owned Delaware corporation; Armenia holds 26%. But DFC has committed **no funding**. Sub-project equity is capped at 40%. The corporate structure's creation "does not obligate DFC to participate in sub-projects." In effect, TRIPP is a legal shell awaiting political will and appropriations – both of which depend on Trump administration priorities that can shift without warning.

World Bank projections (\$100M/year in transport savings, 0.5-1.0% GDP increase, ~3% export growth) demonstrate the corridor's potential value. But without committed US funding, the projections remain hypothetical. The gap between TRIPP's legal framework and actual funded implementation is the gap between potential and reality.

Russia's trade bans – covering most Armenian agricultural exports, including the fish/seafood sector where 30% of exports go to Russia – continue to press Armenia's economy. Armenia's appeal to the Eurasian Economic Commission challenges the bans on EAEU rules grounds, but the dispute fundamentally undermines the bloc's credibility as a neutral economic institution. EU Commission President von der Leyen's planned visit to Yerevan for agricultural export talks signals that Brussels sees an opening to offset Russian economic pressure.

| MILITARY

The Republic Day 2026 military doctrine shift – limiting the Armenian army's mission to defense of internationally recognized territory – was a strategic precondition for the Western arms diversification now underway. Equipment from seven countries (India, France, Iran, China, and others) was displayed at the parade. The AD-08 Majid air defense system

from Iran was a notable inclusion, signaling Yerevan's willingness to source from Tehran despite Western partnerships.

Eagle Partner 2026 (June 17-25) expanded from bilateral US-Armenia exercises to a multinational format including France and Greece – another incremental but symbolically significant step. Armenia's participation in Eurosatory 2026 in Paris with 30 domestic defense companies and the BooTech-Thales cooperation agreement represent deepening defense-industrial integration with European partners.

But the military gap remains overwhelming. Azerbaijan has continued to modernize with Turkish and Israeli equipment. The unresolved border – with Azerbaijan occupying strategic positions inside internationally recognized Armenian territory – remains the most dangerous military flashpoint. A single border incident could derail the diplomatic process more effectively than any Russian information campaign.

The "Western Azerbaijan" conference in the US Congress is not a military event, but it has military implications: it reframes the entire territorial question in a way that justifies Azerbaijani revisionism. If Aliyev's demands for enclave returns and territorial adjustments are backed by military posturing, the escalation risk rises.

| TECHNOLOGICAL

Russia's information warfare capability – the Storm-1516 network that ran 30+ campaigns targeting Armenia between April 2025 and April 2026 – remains the primary technological threat to the peace process. The network operates with AI-generated content, fake media outlets, and coordinated amplification. Post-election, Russian state media has shifted focus to amplifying any signal of Armenian domestic discontent, with the goal of weakening Pashinyan between elections.

The TRIPP corridor's technological dimension – fiberoptic connectivity, digital infrastructure, surveillance systems – would, if implemented, reduce Armenia's dependence on Russian digital networks. But without committed US funding, this remains aspirational.

Turkey's normalization includes potential cooperation on telecommunications and digital infrastructure. If the Turkey-Armenia border opens even partially, the opportunity for Armenia to diversify its digital backbone away from Russian-controlled networks becomes real – but on the 2030 timeline announced by Kostanyan, this is a second-term Pashinyan project, not a near-term deliverable.

WATCH INDICATORS

- Aliyev's "Western Azerbaijan" demands – whether formalized as new preconditions in peace negotiations or continued as rhetorical escalation
- Outcome of the July 2026 NATO summit in Ankara – specifically whether a Trump-Pashinyan-Aliyev meeting occurs and produces any concrete result

- Pashinyan's constitutional reform initiative – whether he attempts to bypass the supermajority requirement through alternative legal mechanisms or a public referendum campaign
- Russian information operation intensity targeting Armenian domestic politics post-election
- Border incident frequency and severity along the Armenia-Azerbaijan line – particularly in the context of Aliyev's escalated territorial demands
- US TRIPP funding commitments or DFC project-specific announcements – any movement from legal shell to appropriated funds
- Iran's response to the deepening Armenia-West military relationship, particularly the AD-08 Majid sale

PROBABILITY TRIGGERS

THING	DIRECTION
Aliyev formalizes "Western Azerbaijan" resettlement and enclave demands as new peace treaty preconditions	Up
NATO summit in Ankara produces concrete diplomatic framework or timeline for peace treaty signing	Down
Pashinyan secures opposition support or an alternative legal path around the constitutional supermajority deadlock	Down
Major border incident or Azerbaijani military escalation targeting Armenian territorial positions	Up
US announces committed DFC funding for TRIPP sub-projects with specific timeline	Down
Russia conducts new large-scale interference operation or escalates economic pressure beyond trade bans	Up
Turkey announces a timeline for land border opening with Armenia independent of the Azerbaijan peace treaty	Down
Iran objects formally to the Armenia-West military relationship or AD-08 deployment conditions	Up

KEY SOURCES

1. Armenian Weekly: Aliyev escalated demands to the UN – return of enclaves, territorial acquisition, resettlement of 300,000 Azerbaijanis
2. Orta Sayfa Haber: Armenia sets 2030 target for border reopening

